

Quarterly Tax Provision Workpaper -- Q4 2025

Period: Q4 2025 | ETR: 22.1% | Status: Draft -- Pending Audit Committee Review

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1. Effective Tax Rate Summary

For Q4 2025, American Express Company reports a consolidated effective tax rate (ETR) of 22.1%, compared to 23.4% in Q4 2024. The year-to-date ETR is 22.8%, within the guided range of 22-24%.

The Q4 2025 ETR reflects the favorable impact of the IRS Appeals settlement (\$340M reserve release, contributing a 1.2pp ETR benefit) partially offset by Pillar Two top-up tax accruals (\$31M).

2. Rate Reconciliation

Statutory US federal rate: 21.0%
State and local taxes (net of federal benefit): +2.3%
Foreign rate differential: -1.8%
R&D tax credits: -1.5%
Pillar Two top-up tax: +0.4%
IRS settlement reserve release: -1.2%
Exec compensation (162(m) limitation): +0.8%
Foreign-derived intangible income (FDII): -0.7%
Other permanent items: +0.3%
Stock-based compensation (ASC 718): -0.5%
Valuation allowance changes: +0.0%

Reported ETR: 22.1% (vs. prior year 23.4%)

3. Deferred Tax Summary

Net deferred tax assets as of December 31, 2025: \$4.1B. Largest components: card member loan loss reserves (\$1.8B DTA), depreciation and amortization (\$920M DTL), stock-based compensation (\$340M DTA), unrecognized tax benefits (\$280M DTA), foreign tax credit carryforwards (\$195M DTA).

No valuation allowance is required -- management has concluded that it is more likely than not that all deferred tax assets will be realized based on projected future taxable income.